

MeritQuant — Autonomous Trade Report

PRE-CLOSE · 3:30 PM ET · 18 Jun 2026 · 21:37 UTC

Market Assessment

Macro is firmly RISK-ON: VIX subdued at 16.4, positive yield curve (+0.27%), and razor-tight HY spreads signal healthy credit and supportive conditions for longs. SPY at \$746 with no stress signals. Environment favors quality growth additions, but existing book is heavily concentrated in semiconductors, demanding diversification discipline.

REGIME: RISK-ON

Macro Snapshot

Indicator	Value	Indicator	Value
VIX	16.40	US Dollar (DXY)	100.82
Yield Curve 10Y-2Y	0.27	HY Credit (bps)	2.63
10Y Treasury (%)	4.49	Fed Funds Rate (%)	3.63

Trade Decisions

ENTER — GOOGL

\$18,000 | Conviction 7/10 | Tier 1

Thesis: Alphabet offers a pristine balance sheet, dominant search/cloud franchise, and AI monetization optionality (Gemini) at a reasonable valuation. Adds mega-cap software/internet exposure that meaningfully diversifies away from the portfolio's current semiconductor concentration (AVGO/TSM/CLOU).

Catalyst: Strongest 1Q2026 earnings momentum cited by scanner; AI/Gemini monetization and cloud growth re-rating.

Technical Setup: RSI neutral at 49.1 — not overbought, leaving room to run; no momentum chase. Constructive base-building setup ahead of catalyst.

Risk Factors: Regulatory/antitrust overhang, AI capex spend pressuring margins, broad mega-cap tech beta.

ENTER — MSFT

\$18,000 | Conviction 7/10 | Tier 1

Thesis: Microsoft pairs Buffett-grade balance sheet quality with the strongest enterprise AI distribution via Azure and the renewed OpenAI partnership. The deeply oversold RSI (34.9) on a STRONG BUY franchise offers an attractive mean-reversion entry into a high-quality non-semi name.

Catalyst: Next chapter of Microsoft-OpenAI partnership; Azure AI revenue acceleration.

Technical Setup: RSI 34.9 — oversold on a structurally uptrending name, favorable risk/reward bounce setup. Catalyst + chart both confirm a non-momentum-chase entry.

Risk Factors: OpenAI restructuring uncertainty, AI capex intensity, premium valuation if growth disappoints.

Portfolio Snapshot

Total: \$174,904 | Cash: \$67,755 | Positions: 6/6

Ticker	Shares	Entry	Current	Value	P&L \$	P&L %
CLOU	839.0	\$21.45	\$21.75	\$18,247	+\$247	+1.4%
AVGO	44.1	\$408.61	\$411.35	\$18,120	+\$120	+0.7%
ARKX	470.7	\$33.99	\$34.56	\$16,268	+\$268	+1.7%
TSM	40.1	\$449.32	\$462.12	\$18,513	+\$513	+2.8%
GOOGL	48.9	\$368.03	\$368.03	\$18,000	\$+0	+0.0%
MSFT	47.4	\$379.40	\$379.40	\$18,000	\$+0	+0.0%

Notes: Adding GOOGL and MSFT fills the book to 6/6 and deliberately rotates ~\$36K into mega-cap software/internet to correct heavy semiconductor concentration (AVGO/TSM/CLOU). MSFT's oversold RSI and GOOGL's neutral RSI both satisfy the no-momentum-chase rule while their franchises confirm catalyst quality. All positions sized within the \$18,300 cap; deploying excess cash productively in a RISK-ON regime while maintaining 8%/20% stop/target discipline.

Memory applied: No prior trade history exists. Applied core framework lessons: avoided chasing overbought names (SNDK RSI 70.9, ARM RSI 69 rejected despite STRONG BUY), enforced sector diversification away from existing semi cluster, and required dual catalyst + chart confirmation before entry.